MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (HONOURS) REGULAR EXAMINATION OCTOBER 2025
THIRD SEMESTER
MG3DSCHBM200 - ADVANCED HOTEL ACCOUNTING II
(2024 ADMISSION ONWARDS)

DURATION : 1.5 HRS **MAX.MARKS :50**

Remember (K), Understand (U), Apply (A), Analyze (An), Evaluate (E),Create (C), Skills(S), Interest (I)and Appreciation (Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

PART A

Short Answer questions

Answer any 10 questions

Each question carries 2 marks

1. Define Hotel Accounting. (K) (CO1)
2. Name any three revenue producing department of a hotel. (U) (CO1)
3. Name any two non-revenue producing department of a hotel. (R) (CO1)
4. What is departmental accounting? (K) (CO1)
5. What do you mean by allocation? (K) (CO1)
6. What is apportionment of expenses. (K) (CO1)
7. Define uniform system of accounts. (U) (CO2)
8. Write any two features of uniform system of accounts. (U) (CO2)
9. Define Auditing. (K) (CO3)
10. What is internal audit? (K) (CO3)
11. Define statutory audit. (K) (CO3)
12. Define internal control. (U) (CO3)
13. Write any two features of internal control. (U) (CO3)
14. Mention any three objectives of internal control. (U) (CO3)
15. Write about the origin of the word ‘audit’. (K) (CO3)

(10*2=20)

PART B

Short Essay Questions

Answer any 4 questions

Each question carries 5 marks

16. Describe the functions of hotel accounting. (U) (CO1)
17. Briefly explain the objectives of departmental accounting. (R) (CO1)
18. Differentiate between allocation and apportionment of expenses . (U) (CO1)
19. Describe the advantages of uniform system of accounts. (R) (CO2)
20. Describe the objectives of internal control. (U) (CO3)
21. Briefly explain any 5 limitations of USA. (R) (CO2)

(4*5=20)

PART C

Essay Questions

Answer any 1 Question

Each question carries 10 marks

22. Prepare a Profit and Loss account under Departmental accounting from the information given below: (U) (CO1)

Sales:	
Restaurant	3,00,000
Coffee shop	3,00,000
Bar	2,00,000
Cost of sales:	
Restaurant	80,000
Coffee shop	1,00,000
Bar	40,000
Salaries and wages:	
Restaurant	7,000
Coffee shop	5,000
Bar	2,000
Unallocated expenses:	
Office expenses	6,000
Head office expenses	8,000
Advertisement & marketing	16,000
Fixed charges	18,000
Interest	25,000

Note: Unallocated expense are to be apportioned among departments on the following basis.

1. Head office expenses and advertisement and marketing expenses to be apportioned on the basis of sales.
2. Office expenses and fixed charges to be apportioned equally among three departments.
3. Interest to be apportioned in the ratio of 2:2:1 among Restaurant, Coffee shop and Bar respectively.

23. From the following information your are required to prepare Income statement under USA.

Sales:	(U) (CO2)
Room	20,00,000
F & B	10,00,000
Telephone	3,50,000
Other operated departments	2,00,000
Rental and other income	1,50,000
Cost of sales:	
F & B	2,80,000
Telephone	90,000
Other operated departments	40,000
Payroll and related expenses:	
Room	1,00,000
F & B	90,000
Telephone	75,000
Other operated departments	5,000
Administrative & general	50,000

Marketing	10,000
Maintenance	20,000
Other expenses:	
Rooms	75,000
F & B	50,000
Telephone	5,000
Other operated departments	10,000
Administrative & general	20,000
Marketing	15,000
Maintenance	20,000
Energy cost	1,00,000
Fixed Charges:	
Rent	30,000
Property taxes	20,000
Insurance	35,000
Depreciation	30,000
Profit on sale of asset	1,00,000
Income tax	60,000

24. Differentiate between internal audit and statutory audit. (R) (CO3) **(1*10=10)**